The Supreme Court, in an advisory opinion[18] (1963), held that the immunity granted to a state in respect of Central taxation does not extend to the duties of customs or duties of excise. In other words, the Centre can impose customs duty on goods imported or exported by a state, or an excise duty on goods produced or manufactured by a state.

10. Effects of Emergencies

The Centre–state financial relations in normal times (described above) undergo changes during emergencies. These are as follows:

A. National Emergency While the proclamation of national emergency (under Article 352) is in operation, the President can modify the constitutional distribution of revenues between the Centre and the states. This means that the President can either reduce or cancel the transfer of finances (both tax sharing and grants-in-aid) from the Centre to the states. Such modification continues till the end of the financial year in which the emergency ceases to operate.

B. Financial Emergency While the proclamation of financial emergency (under Article 360) is in operation, the Centre can give directions to the states: **(i)** to observe the specified canons of financial propriety; **(ii)** to reduce the salaries and allowances of all class of persons serving in the state; and **(iii)** to reserve all money bills and other financial bills for the consideration of the President.

TRENDS IN CENTRE–STATE RELATIONS

Till 1967, the centre–state relations by and large were smooth due to one-party rule at the Centre and in most of the states. In 1967 elections, the Congress party was defeated in nine states and its position at the Centre became weak. This changed political scenario heralded a new era in the Centre–state relations. The non-Congress Governments in the states opposed the increasing centralisation and intervention of the Central government. They raised the issue of state autonomy and demanded more powers and financial resources to the states. This caused tensions and conflicts in Centre–state relations.

 **Tension Areas in Centre-State Relations**

The issues which created tensions and conflicts between the Centre and states are:

(1) Mode of appointment and dismissal of governor;

(2) Discriminatory and partisan role of governors;

(3) Imposition of President's Rule for partisan interests;

(4) Deployment of Central forces in the states to maintain law and order;

(5) Reservation of state bills for the consideration of the President;

(6) Discrimination in financial allocations to the states;

(7) Role of Planning Commission in approving state projects; (till its replacement by the NITI Aayog in 2015);

(8) Management of All-India Services (IAS, IPS, and IFoS);